

punitive damages, nor are conclusory allegations that merely parrot the language of the statute. (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166; *Blegen v. Superior Court* (1981) 125 Cal.App.3d 959, 963.)

Fraud, oppression and malice necessary to support punitive damages are each defined in Civil Code section 3294(c). The Court has concluded the allegations of the sixth cause of action of the FAC are insufficient to state the claim for fraudulent inducement/fraudulent concealment.

The definition of "malice" under Civil Code section 3294(c)(1) was amended in 1987 and is now defined as "conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others." (Emphasis added.) (*See also generally Butte Fire Cases* (2018) 24 Cal.App.5th 1150, 1159-1160 [explaining the "malice requirement has evolved over time"].) The definition of "oppression" also requires "despicable" conduct. (Civ. Code § 3294(c)(2).

The California Supreme Court explained that "the statute's reference to 'despicable' conduct seems to represent a new substantive limitation on punitive damage awards. Used in its ordinary sense, the adjective 'despicable' is a powerful term that refers to circumstances that are 'base,' 'vile,' or 'contemptible.'" [Citation omitted.] As amended to include this word, the statute plainly indicates that absent an intent to injure the plaintiff, 'malice' requires more than a 'willful and conscious' disregard of the plaintiffs' interests. The additional component of 'despicable conduct' must be found. [Citations omitted.]" (*College Hospital Inc. v. Superior Court* (1994) 8 Cal.4th 704, 725 [emphasis added]). (*See also Lackner v. North* (2006) 135 Cal.App.4th 1188, 1209-1210 [" 'Punitive damages are proper only when the tortious conduct rises to levels of extreme indifference to the plaintiff's rights, a level which decent citizens should not have to tolerate.' [Citation.]"].)

Plaintiffs do not contend that the FAC alleges FCA intended to harm or injure Plaintiffs. They cite *Angie M. v. Superior Court* (1995) 37 Cal.App.4th 1217 for the proposition that "Conscious disregard for the safety of another may be sufficient where the defendant is aware of the probable dangerous consequences of his or her conduct and he or she willfully fails to avoid such consequences." (*Id.* at 1228.) Following the *College Hospital* decision cited above, the Court in *Angie M.* also held that based on the 1987 amendment to the punitive damages statute, "the statute now requires 'despicable' conduct *in addition to* willful and conscious disregard for a plaintiff's interests. [Citation omitted.]" (*Id.* at 1228.) The Court held the allegations in that case, which stated a claim for unlawful seduction/sexual abuse of a minor in addition to battery, were sufficient to state a claim for punitive damages under the amended definition of malice. (*Id.*)

Plaintiffs make general arguments that punitive damages may be a remedy available for violation of the Song-Beverly Consumer Warranty Act and the Magnuson-Moss Warranty Act. The theoretical availability of punitive damages does not mean that Plaintiffs have alleged facts in the FAC that show malice or oppression as defined in Civil Code section 3294 and construed in the case law to state a claim for punitive damages. The Court does not find the allegations of the FAC sufficient to state a claim for punitive damages based on malice or oppression. The allegations do not rise to the level of "despicable" conduct.

CASE NAME: RAFAEL NEVAREZ MORENO VS. RHETT WHITEHILL

***MOTION/PETITION TO COMPEL ARBITRATION**

FILED BY: STRESS FREE AUTO CARE, INC.

TENTATIVE RULING:

Defendant Stress Free Auto Care, Inc.'s motion to compel arbitration is **denied**.

Plaintiff Rafael Nevarez Moreno filed a class action complaint against Stress Free Auto Care, Inc. (Stress Free) and Rhett Whitehill for various wage and hour violations on December 3, 2024. Defendant Stress Free filed this motion to compel arbitration on July 18, 2025. Plaintiff worked for Stress Free from February 2024 to July 2024. (Comp. ¶12.)

Defendant claims that Plaintiff signed an arbitration agreement on February 24, 2024. The Agreement requires arbitration of employment related claims and includes a class action waiver. The Agreement states that the FAA applies.

Defendant argues that the arbitration agreement applies here and therefore, Plaintiff's individual claims should be sent to arbitration. Defendant also asks that the class claims be dismissed because of the class action waiver included in the arbitration agreement. Plaintiff argues that Defendant has waived the right to compel arbitration and that the evidence does not show that he signed the arbitration agreement.

Arbitration Agreement

"The court's role under the [FAA] is ... limited to determining (1) whether a valid agreement to arbitrate exists and, if it does, (2) whether the agreement encompasses the dispute at issue." (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) "If the response is affirmative on both counts, then the Act requires the court to enforce the arbitration agreement in accordance with its terms." (*Ibid.*) Likewise, under the CAA, the court must order arbitration unless it determines that "(a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for the revocation of the agreement...." (CCP §1281.2; *Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218-19.)

Whether the arbitration agreement is governed by the Federal Arbitration Act, 9 U.S.C. § 1, et seq. ("FAA") or by the California Arbitration Act, Code of Civil Procedure section 1280 et seq. ("CAA"), the threshold issue of whether a valid and enforceable agreement to arbitrate exists is determined under California law and procedures. (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413; Code Civ. Proc. 1281, 1281.2, 1290.2.) Arbitration agreements may be invalidated on the same grounds other contracts may be invalidated, including fraud, duress or unconscionability. (*Armendariz v. Foundation Health Psych. Servs., Inc.* (2000) 24 Cal.4th 83, 98.)

"First, the moving party bears the burden of producing 'prima facie evidence of a written agreement to arbitrate the controversy.' [Citation.] The moving party 'can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature.' [Citation.] Alternatively, the moving party can meet its burden by setting forth the agreement's provisions in the motion. [Citations.] For this step, 'it is not necessary to follow the normal procedures of document authentication.' [Citation.]" (*Gamboa v. Northeast Community*

Clinic (2021) 72 Cal.App.5th 158, 165.)

“If the moving party meets its initial prima facie burden... then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. [Citation.] The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement. [Citations.]” (*Ibid.*)” (See also, *Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 840, 846 [employee’s declaration that he did not recall signing the agreement was enough to meet the opposing party’s burden].)

Finally, “[i]f the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. The burden of proving the agreement by a preponderance of the evidence remains with the moving party. [Citation.]” (*Gamboa, supra*, 72 Cal.App.5th at 165-166.)

Plaintiff objects that the declaration from Llewellyn is insufficient because he got the dates of Plaintiff’s employment wrong and because he lacks sufficient personal knowledge to authenticate the arbitration agreement. As to the date discrepancy, the arbitration agreement includes the correct date and the Court finds that including the wrong year that Plaintiff started his employment is not a reason to discount the entire declaration. Further, in order to meet the initial prima facie burden, a moving party needs to provide a copy of the arbitration agreement or state its terms. Defendant has met its initial burden providing a copy of the arbitration agreement.

The burden then shifts to Plaintiff. Plaintiff includes a declaration that states during his shift work on February 24, 2024, his manager Whitehill asked Plaintiff to come to the office to complete onboarding paperwork. Plaintiff was given a link that contained a large pdf file with multiple pages to sign. In order to access the documents, Plaintiff entered the company credentials provided by Whitehill into an online platform called Gusto. Plaintiff was told to complete the paperwork right away. He was not told there was an arbitration agreement included with the paperwork and he does not recall signing the arbitration agreement. (Moreno dec. ¶¶4-6, 9.) Plaintiff also states that if he did sign an arbitration agreement, he did not understand what arbitration was until his attorney explained it to him (Moreno dec. ¶10.) Plaintiff also provides a printout from Gusto that shows someone had uploaded or filed documents into Gusto after Plaintiff’s employment ended. (Moreno dec. ¶7 and ex. A.)

Plaintiff’s declaration states that he did not remember signing the arbitration agreement, which is sufficient evidence to challenge the authenticity of the agreement. (*Ruiz, supra*, 232 Cal.App.4th at 840, 846.) In addition, Plaintiff provides evidence that someone else had access to Plaintiff’s Gusto account and three documents were added to Gusto after July 2024, when Plaintiff’s employment ended.

The burden then shifts back to Defendant to provide admissible evidence. Defendant’s Head of People, Llewellyn, provides a declaration that states he has access to Stress Free’s personnel records, which are made in the normal course of business. (Llewellyn dec. ¶12.) Llewellyn states that during Plaintiff’s onboarding process, Stress Free presented him with an arbitration agreement, which Plaintiff signed. (Llewellyn dec. ¶6.) Llewellyn did not provide any details on how he knows that Plaintiff signed the agreement. Plaintiff’s objections to paragraph 6 of Llewellyn’s declaration are

sustained.

In reply, Defendant included its own discovery responses, which are verified by Llewellyn. The relevant responses state that “Plaintiff’s e-mail address used to access his Gusto account is rnevarez25@gmail.com. Defendant does not have any knowledge of its current and former employees’ Gusto account passwords. Therefore, Defendant does not have access to or knowledge of Plaintiff’s login password.” (Cepeda supp. Ex. 7, interrogatory 33.) “During the onboarding process, Plaintiff set-up an user account with Gusto, a human resources software/platform utilized by Defendant, by using his personal e-mail address as his username and creating a password that is, and was at all times during Plaintiff’s employment, unknown to Defendant. Only Plaintiff had access to fill out, sign, and/or upload documents to his Gusto account. Thus, Defendant can only review documents filled out, signed, and/or uploaded to Gusto by its current and former employees, including Plaintiff.” (Cepeda supp. Ex. 7, interrogatory 35.)

Interrogatory answers are admissible when used by “the propounding party or any party other than the responding party”. (Code Civ. Proc., § 2030.410.) “[T]he responding party may not use its own interrogatory responses in its own favor.” (*Great American Ins. Cos. v. Gordon Trucking, Inc.* (2008) 165 Cal.App.4th 445, 450.) Defendant’s interrogatory responses cannot be used to help Defendant meet its burden of showing that Plaintiff signed the arbitration agreement.

Defendant has not met its burden of providing admissible evidence that shows Plaintiff signed the arbitration agreement and therefore, the motion to compel arbitration is denied.

Waiver

“Courts have recognized that where the FAA applies, whether a party has waived a right to arbitrate is a matter of federal, not state, law. [Citations.]” (*Davis v. Shiekh Shoes, LLC* (2022) 84 Cal.App.5th 956, 963.) When deciding if there has been a waiver of the right to arbitrate, courts consider the following factors: “ ‘(1) whether the party’s actions are inconsistent with the right to arbitrate; (2) whether “the litigation machinery has been substantially invoked” and the parties “were well into preparation of a lawsuit” before the party notified the opposing party of an intent to arbitrate; (3) whether a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay; (4) whether a defendant seeking arbitration filed a counterclaim without asking for a stay of the proceedings; [and] (5) “whether important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place... ’ ” [Citations.]”

(*Davis v. Shiekh Shoes, LLC* (2022) 84 Cal.App.5th 956, 964.) Previously, a lack of prejudice was considered when deciding waiver, however, courts no longer consider prejudice. (*Id.* at 966; see also, *Morgan v Sundance* (2022) 596 US 411, 419.)

Here, this case was filed on December 3, 2024. Stress Free was served on December 12 and filed their answer on January 13, 2025. This motion was filed on July 18, 2025, approximately six months later. There have been three case management conferences (one heard after this motion was filed) and no motion practice except for this motion. Trial has not been set.

The parties discussed the arbitration agreement a few times between January and March 2025. (Gipson dec. ¶¶ 5-8.) At the April 4 CMC there was some discussion about a potential motion to compel arbitration. (4/4/25 Minute Order; Gipson dec. ¶11.) Plaintiff claims that there was an

additional discussion about whether Defendant would file a motion to compel arbitration at the June 11 CMC, but Defendant would not provide an answer. (Gipson dec. ¶12.) On June 16, Plaintiff served discovery requests. (Gipson dec. ¶15.) On July 18, Defendant served responses which included objections based upon the arbitration agreement. (Gipson dec. ¶16; Cepeda supp dec. ¶2 and ex. 1.)

Here, Defendant consistently and repeatedly informed the Plaintiff and the Court that it might seek to enforce the arbitration clause. Further, while Defendant responded to Plaintiff's discovery, the response included objections based upon the arbitration agreement. Defendant has not engaged in motion practice outside of this motion and did not file a cross-complaint here or propound its own discovery. Considering all the factors, the Court finds that the facts here are insufficient to show waiver of the right to compel arbitration.

None of Plaintiff's cited cases require a different result. The cited cases show that a delay of four to six months, along with substantial motion practice and/or discovery without raising the arbitration issue constitutes waiver. (See, *Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal. App. 4th 436, 446; *Adolph v. Coastal Auto Sales, Inc.* (2010) 184 Cal. App. 4th 1443, 1451–52; *Guess?, Inc. v. Superior Court* (2000) 79 Cal. App. 4th 553, 556; *Sobremonte v. Sup. Ct.* (1998) 61 Cal. App. 4th 980, 993.) Finally, in *Augusta v. Keehn & associates* (2011) 193 Cal. App. 4th 331, 338-339 the plaintiff was found to have waived the right to compel arbitration. There, the plaintiff filed a civil complaint, obtained discovery not allowed in arbitration before trying to compel arbitration.

Evidence

Plaintiff's objections to evidence were not number consecutively, however, there are only three objections and the Court has assigned them numbers 1 through 3.

The Court rules on Plaintiff's objections to evidence as follows:

1. Overruled. Defendant's Head of People is permitted to provide the dates of Plaintiff's employment. It does appear, however, that Plaintiff's employment began in 2024, and not 2022.
2. Sustained.
3. Sustained.

11. 9:00 AM CASE NUMBER: C25-00429

CASE NAME: AFONSO INFANTE VS. PALO ALTO NETWORKS, INC.

***HEARING ON MOTION IN RE: VACATE ORDER, SANCTIONS AND STATE BAR REFERRAL**

FILED BY: INFANTE, AFONSO

TENTATIVE RULING:

Plaintiff Alfonso Infante moves for an order (1) vacating and/or reconsidering two orders signed on July 21, 2025 (denying plaintiffs motion to strike defendants' motion to compel arbitration and request for default), and July 22, 2025 (granting defendants' motion to compel arbitration); (2) imposing monetary sanctions against opposing counsel; and (3) referring opposing counsel to the State Bar for disciplinary investigation. The motion was filed July 24, 2025.

Plaintiff argues that the discovery of the representations of counsel made in the course of submitting the two proposed orders for the entry by the Court constitute "new and different facts" under Code of